

BEARCAT CORPORATION

RISK CONTROL POLICY

Employee Onboarding — Compliance and Documentation Requirements

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TABLE OF CONTENTS

1. Purpose and Scope

2. Role Risk Classifications

3. Required Documentation

4. Background Check Requirements

5. IT Provisioning and System Access

6. Exception Handling and Escalation

Appendix A. Automation Reference — Structured Rules and JSON Format

1. Purpose and Scope

A clearly defined onboarding risk policy protects the organization from legal, financial, and reputational harm by ensuring that compliance requirements are applied consistently across all new hires. This policy also provides the authoritative reference for the automated onboarding system.

Policy and Procedure Statement

This Risk Control Policy establishes the compliance requirements, mandatory documentation standards, and background verification procedures governing the onboarding of all new employees at Bearcat Corporation.

This Policy applies to all departments, all employment types (full-time, part-time, and fixed-term contract), and all geographic locations. It applies to all individuals whose onboarding is processed through the automated employee onboarding system.

No new employee shall be granted access to company systems, facilities, data, or resources until all requirements set forth in this Policy have been satisfied. Exceptions to any provision of this Policy require written approval from both the HR Director and the Chief Compliance Officer.

This Policy also serves as the authoritative compliance reference document read by the automated onboarding system to determine role-specific requirements and evaluate whether IT provisioning conditions have been met.

2. Role Risk Classifications

Assigning risk classifications to roles ensures that higher-risk positions receive proportionally rigorous screening. Finance and Legal roles carry elevated risk due to access to sensitive financial and legal information.

Policy and Procedure Statement

All roles are assigned to one of four risk categories. The category determines the required documentation set and the compliance checks applicable to the hire.

2.1 Finance Category — High Risk

Applicable roles include, but are not limited to: Financial Analyst, Senior Accountant, Controller, Treasurer, and Chief Financial Officer.

Finance roles carry a **HIGH RISK** classification due to privileged access to financial systems, payment processing, and sensitive monetary records. A clean criminal background is mandatory. Any criminal record flag returned by the background check vendor must be immediately escalated to the HR Manager and the Legal department prior to any provisioning action.

2.2 Legal Category — High Risk

Applicable roles include, but are not limited to: Legal Counsel, General Counsel, Compliance Officer, and Paralegal.

Legal roles carry a **HIGH RISK** classification due to access to privileged legal communications and confidential compliance records. A security clearance review is required for all Legal hires. IT provisioning shall remain on hold until the HR Manager confirms clearance has been satisfactorily obtained.

2.3 Information Technology Category — Medium Risk

Applicable roles include, but are not limited to: Systems Engineer, IT Manager, Network Administrator, Security Analyst, and DevOps Engineer.

IT roles carry a **MEDIUM RISK** classification. An academic transcript confirming a relevant technical degree is required. System access is scoped strictly to the functional requirements of the role.

2.4 Standard Category — Standard Risk

All roles not classified as Finance, Legal, or IT are assigned to the **STANDARD RISK** category. This includes roles in Human Resources, Operations, Marketing, Sales, and Administration. Standard background checks apply with no additional screening requirements.

3. Required Documentation

Consistent collection and confirmation of required documents before system access is granted reduces compliance risk, ensures legal I-9 obligations are met, and creates a reliable audit trail for each hire.

Policy and Procedure Statement

The following documentation must be collected by the HR Specialist and confirmed as received in the onboarding tracking system prior to the commencement of any automated provisioning steps.

3.1 Mandatory Documents — All Roles

(a) Government-Issued Identification. A valid, non-expired government-issued photo identification document (e.g., driver's license, passport, or state ID card). The HR Specialist must inspect the original document in person and confirm its validity. A copy shall be retained on file.

(b) Form I-9 — Employment Eligibility Verification. The employee must complete Section 1 on or before the first day of employment. The HR Specialist must complete Section 2 within three business days of the employee's start date, following physical inspection of acceptable identity and work authorization documents as defined by U.S. Citizenship and Immigration Services.

(c) Signed Employment Agreement. A fully executed employment agreement inclusive of confidentiality, code of conduct, acceptable use, and data protection provisions. All pages must be present and bear signatures from both the employee and an authorized HR representative.

3.2 Role-Specific Additional Requirements

Finance roles: Academic transcript confirming a degree in Finance, Accounting, Economics, or a closely related business discipline.

Legal roles: Academic transcript confirming a Juris Doctor (J.D.) or equivalent law degree, and a completed Security Clearance Form as issued by the Compliance Office.

IT roles: Academic transcript confirming a degree in Information Technology, Computer Science, Software Engineering, or a related technical discipline.

Standard roles: No academic transcript is required. Mandatory documents as defined in Section 3.1 apply.

4. Background Check Requirements

Background checks protect the organization and its employees from risk associated with hiring individuals with disqualifying histories, particularly for roles with access to financial data or sensitive legal information.

Policy and Procedure Statement

All offers of employment are contingent upon satisfactory completion of a background check conducted by Bearcat Corporation's approved third-party vendor. The check shall be initiated after the HR Specialist confirms receipt of all required documents as described in Section 3.

4.1 A result of **Pass** is required before IT provisioning may proceed. A result of **Fail** shall result in withdrawal of the conditional offer. The candidate shall be notified by the HR department in writing.

4.2 Where a result remains **Pending** for fifteen (15) or more calendar days from submission, the case shall be escalated to the HR Manager for direct follow-up with the vendor.

4.3 For **Finance roles**, any criminal record flag — regardless of the overall outcome — must be escalated immediately to both the HR Manager and the Legal department. IT provisioning is blocked pending their review.

4.4 For **Legal roles**, provisioning shall remain on hold until the HR Manager confirms that the required security clearance review has been completed satisfactorily.

5. IT Provisioning and System Access

Restricting system access until all compliance conditions are met prevents unauthorized access to company data, reduces insider threat risk, and ensures the organization meets its legal and regulatory obligations.

Policy and Procedure Statement

IT account provisioning and equipment assignment shall be initiated only when all of the following conditions are concurrently satisfied:

- (a) All required documents for the employee's role category have been confirmed as received by the HR Specialist.
- (b) The background check has returned a result of Pass.
- (c) All role-specific compliance conditions defined in this Policy have been satisfied.
- (d) No duplicate account exists in the corporate Active Directory for the employee's assigned email address.

Equipment assignment follows role-based configuration. Finance roles receive a hardware security token in addition to standard equipment. Legal roles receive an encrypted USB drive. IT roles receive an additional monitor and docking station. All other roles receive the standard laptop and monitor.

6. Exception Handling and Escalation

Clear escalation paths ensure that exceptions are resolved promptly and consistently, reducing the risk of errors, delays, or unauthorized provisioning decisions being made without appropriate oversight.

Policy and Procedure Statement

The following escalation procedures apply when the automated onboarding system encounters conditions that prevent standard processing:

Document checklist incomplete: The workflow is paused and the HR Specialist is notified to follow up with the candidate for the outstanding document(s).

Background check — Fail: A rejection notification is sent to the candidate and the case is routed to the HR exception queue for review.

Background check — Pending beyond 15 days: The HR Manager is notified to escalate directly with the background check vendor.

Finance role — criminal record flag: All provisioning is blocked immediately. The HR Manager and Legal department are notified and must jointly review the case before any further action is taken.

Legal role — clearance not confirmed: Provisioning is held. The HR Manager is notified to coordinate the clearance process.

Duplicate Active Directory account: Provisioning is halted. The IT department and HR are alerted to resolve the conflict before re-processing.

System unavailability: The error is logged and retried automatically. If three consecutive retries fail, the IT department is alerted.

Appendix A

Automation Reference

Structured Rules and Machine-Readable Format for Automated Processing

This appendix presents the compliance rules from this Policy in a structured format for use by the automated onboarding system. It is not intended for general employee reference. The authoritative policy text is in Sections 1–6.

A.1 Role Categories and Required Documents

Role Category	Risk Level	Required Documents
Finance	HIGH	Government ID · I-9 Form · Finance/Accounting Transcript · Signed Agreement
Legal	HIGH	Government ID · I-9 Form · Law Degree Transcript · Signed Agreement · Security Clearance Form
IT	MEDIUM	Government ID · I-9 Form · IT/Engineering Transcript · Signed Agreement
Standard	STANDARD	Government ID · I-9 Form · Signed Agreement

A.2 Compliance Decision Rules

Rule ID	Condition	Required Action
BR-001a	BG Check = Pass · all docs confirmed · no flags	Proceed to IT provisioning
BR-001b	BG Check = Fail	Send rejection notification · route to HR exception queue
BR-001c	BG Check = Pending · days waiting < 15	Skip row · retry on next scheduled run
BR-001d	BG Check = Pending · days waiting ≥ 15	Escalate to HR Manager · pause workflow
BR-003a	Finance role · Pass · no criminal flag	Proceed automatically
BR-003b	Finance role · criminal record flag present	BLOCK provisioning · escalate to HR Manager AND Legal
BR-003c	Legal role · clearance not confirmed	HOLD provisioning · flag for HR Manager clearance review
BR-004a	All conditions met	Create Azure AD account · raise ServiceNow equipment ticket
BR-004b	Duplicate AD account detected	Halt provisioning · alert IT and HR

A.3 Expected JSON Response Format

When queried, respond with the following JSON only — no preamble, explanation, or markdown formatting outside the JSON object:

```
{ "role_category": "Finance", "risk_level": "HIGH", "required_documents": [ "Government-Issued ID", "I-9 Form", "Finance/Accounting Transcript", "Signed Employment Agreement" ],  
  "criminal_record_check_required": true, "security_clearance_required": false,  
  "risk_policy_check": "Pass", "risk_policy_notes": "Finance role: criminal record check  
mandatory. No security clearance required." }
```

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